EXECUTIVE RESEARCH BRIEF

UK ACCOUNTING SMES / AI READINESS / 2026

AI use has started. Operational readiness is still forming.

A five-dimension current-state report using secondary evidence only.

SECONDARY EVIDENCE ONLY

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ADOPTION / INTEGRATION / GOVERNANCE / USE CASES / PATHWAYS

EXECUTIVE BRIEF

What the evidence says now

AI has moved beyond niche experimentation in UK accounting, but the measured level of adoption changes sharply with the survey definition. Current evidence points mainly to task-level, text and information work; secure integration, governance and measurement remain less developed.

39,860	26%	54%
registered accounting SMEs	**adopted AI**	**piloting or adopted**
VAT/PAYE enterprises in SIC 69.20, March 2025	Direct accounting-practice survey, April 2024	Same 2024 survey; do not compare as a trend

The short answer

The strongest direct accounting-practice benchmark located reports 26% of practices as having adopted AI and 54% as piloting or having adopted it in April 2024. A later, self-selected AccountingWEB study reports 71.38% using external, non-embedded tools in 2026. These figures answer different questions and come from different samples; they are not a time series and must not be averaged.

The direct sources nevertheless agree on the form of current use. AI is used most visibly for tax or information research, drafting, summarisation, chatbots, document processing, repetitive-task automation, reporting and forecasting. The pattern is broader at the task level than at the operating-model level.

What cannot be claimed

- There is no identified official open estimate for the share of UK SIC 69.20 SMEs currently using AI.
- The report does not claim that adoption improves productivity, accuracy, revenue or client outcomes.
- Readiness is an organising framework, not a score or league table.
- Broad SIC M official figures are contextual proxies, not accounting-SME estimates.

Research boundary

This report is the current-state baseline. A later research series will assess benefits, effectiveness and which AI systems improve user businesses most. No surveys, interviews or other primary data collection are used here.

01 SECTOR AND EVIDENCE FRAME

A large SME sector, but a fragmented evidence base

The target population is UK enterprises whose principal activity is SIC 2007 class 69.20: accounting, bookkeeping and auditing activities; tax consultancy. SMEs are defined here as enterprises with 0-249 employees. In-house finance teams in other industries are outside scope.

Employment size	Registered enterprises	Evidence role
0-4	31,295	Direct sector frame
5-9	4,995	Direct sector frame
10-19	2,190	Direct sector frame
20-49	945	Direct sector frame
50-99	295	Direct sector frame
100-249	140	Direct sector frame
SME total	39,860	Derived sum of published bands
250+	115	Separate benchmark

Source: ONS UK business: activity, size and location 2025, Table 4. Counts are control-rounded to base 5 and cover VAT and/or PAYE-registered enterprises. Unregistered sole practitioners are not captured.

Three evidence layers

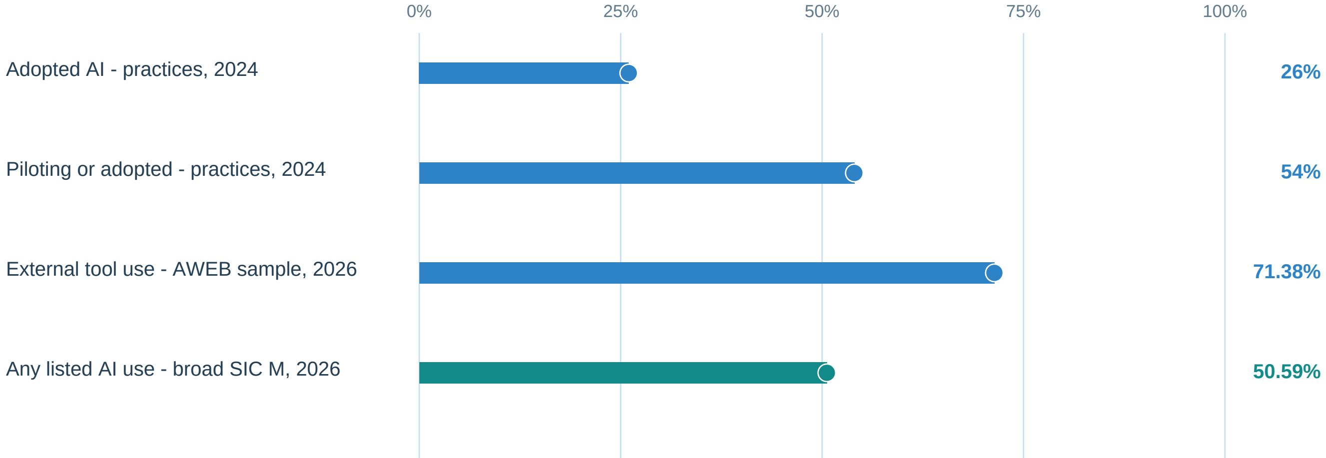
Layer	What it contributes	How it is used
Direct accounting surveys	Practice adoption, tools, tasks, barriers and preparedness	Directional sector evidence; sample limits remain visible
Official SIC M survey	Adoption, integration, policy and pathways with confidence intervals	Context only; wider professional/scientific/technical sector and not SME-only
Official economy-wide research	Technology mix, oversight and barriers	Context only; excludes the smallest firms or groups accounting into broad sectors

Evidence decision: publish a triangulated current-state assessment. Do not manufacture a single accounting-SME prevalence estimate from incompatible sources.

02 AI USE

Adoption is visible - and definition-sensitive

Each percentage below retains its own population and meaning. Visual proximity does not imply comparability.



Blue bars are direct accounting evidence; the 2026 AccountingWEB bar is still directional because participation was self-selected and included members in practice and business. Teal is an official broad-sector contextual proxy. None is an official accounting-SME prevalence estimate.

Interpretation

- The 2024 accounting-practice survey shows that AI adoption had passed the earliest experimental stage, while nearly half of practices were neither piloting nor adopted.
- The 2026 AccountingWEB result shows widespread use of external tools among its respondents, but cannot be generalised to all UK accounting SMEs.
- The official SIC M estimate, 50.6% reporting any listed use, confirms that AI is material across the surrounding professional-services environment. It does not isolate accounting or SMEs.

Conclusion for dimension 1: AI use is no longer niche, but a precise sector-wide adoption rate cannot be recovered from secondary evidence currently available.

03 INTEGRATION AND OPERATIONAL DEPTH

Tool access is broader than verified workflow integration

71.38%	66.18%	19.9%
external non-embedded tools	**believe AI is embedded**	**system integration**
AccountingWEB respondent sample, 2026	Perception of core software, same sample	AI users in broad SIC M, official context

What these measures mean

External tool use captures stand-alone access. Belief that core software contains AI captures perceived vendor embedding, not necessarily active or informed use. The UKBDS integration measure describes AI-using businesses in the much broader SIC M sector. These measures overlap conceptually but do not share a denominator.

Signal	Reading	Limit
Stand-alone access	General-purpose external tools are prominent	Self-selected sample; does not establish organisational approval
Vendor embedding	AI may arrive through existing software	Respondent belief is not verified feature use
System integration	Only one in five broad SIC M AI users report integration	Contextual proxy; conditional denominator
Integration preference	37.56% prioritise natural integration	Preference, not current implementation

Conclusion for dimension 2: accounting AI is more established as a tool layer than as demonstrably integrated, recurring infrastructure.

04 GOVERNANCE AND HUMAN OVERSIGHT

Security and skills are the clearest readiness constraints

16% well prepared for AI skills	63% skills concern	61.95% data-security obstacle
UK accounting practices, 2024	Concern that skills restrict effective use, 2024	AccountingWEB respondent sample, 2026

Governance prevalence

In the official UKBDS contextual proxy, 19.9% of AI-using SIC M businesses reported a formal or informal AI policy or guidance (95% confidence interval 12.6%-27.2%; rounded unweighted base 280). Policy presence does not demonstrate policy quality, client-data protection or compliance.

Operational control	Why it matters	Evidence status
Approved tools and data rules	Protect client confidentiality and limit uncontrolled uploads	Guidance-supported; no representative accounting-SME prevalence
Human review	Maintains professional judgement and accountability	Guidance-supported; no representative prevalence
Staff capability	Enables effective and critical use	Direct survey signals a material gap
Policy or guidance	Sets expected use and escalation routes	Official broad-sector proxy only
Audit trail and monitoring	Supports assurance and incident review	Normative requirement; not measured sector-wide

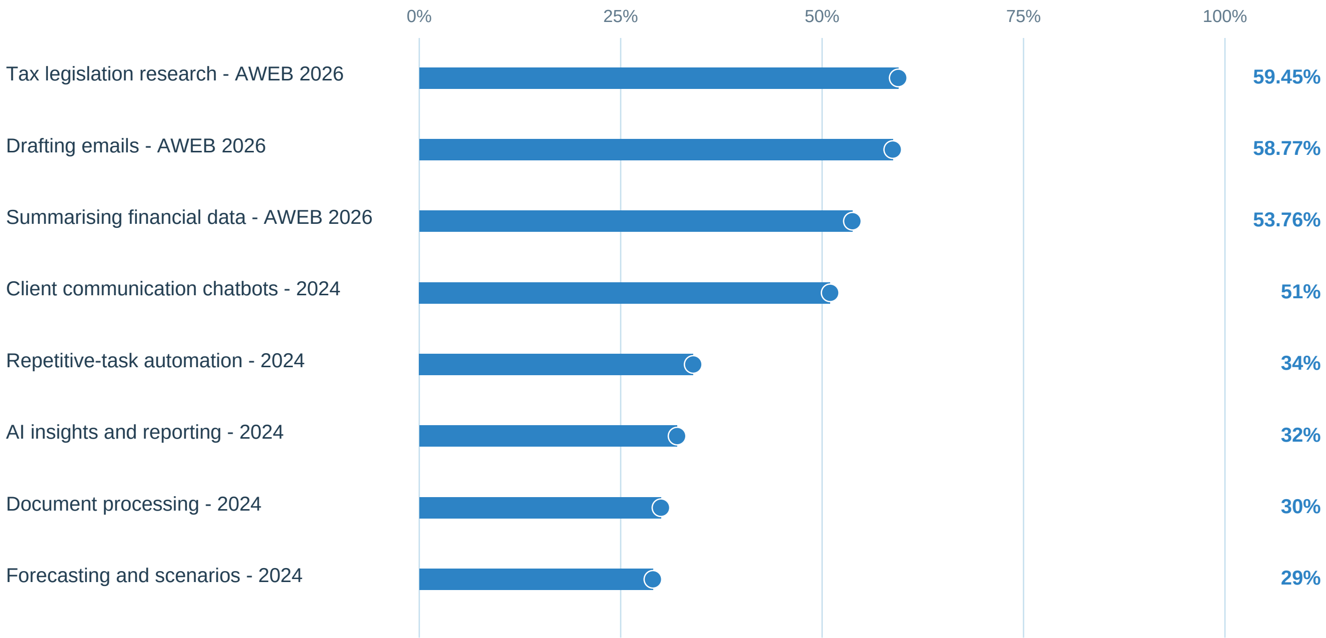
FRC and ICAEW materials are used as normative context only. They explain responsible practice but do not show how common controls are.

Conclusion for dimension 3: governance cannot be inferred from adoption. Skills, security and proportionate oversight are separate operational capabilities.

05 USE CASES AND AI TYPES

Text, information and document work lead current use

The two accounting surveys use different task lists. Percentages within each list may overlap because respondents could report more than one use.



Direct accounting evidence, shown in two separate source-defined groups. Do not rank across the 2024 and 2026 surveys as though they share a sample or questionnaire.

Technology pattern

The reported use cases are most consistent with generative language tools, natural-language processing, document intelligence and rules or automation embedded in applications. Official economy-wide DSIT research also finds text and language tools dominant among AI users, while agentic AI remains much less common. That official result is context, not an accounting estimate.

> **Conclusion for dimension 4: current use is predominantly assistive and task-level - research, drafting, summarisation, client communication and document handling - with automation, reporting and forecasting also visible.**

06 ADOPTION PATHWAYS

Buying and using tools dominate over building autonomous systems

The evidence indicates three main routes: staff using external general-purpose tools, vendors adding AI inside core accounting software, and practices adopting task-specific automation. In-house model development and automated decision-making remain uncommon in the closest official broad-sector context.

Pathway	Current evidence	Assessment
External general-purpose tools	71.38% in the self-selected AccountingWEB sample	Prominent access route; organisational approval is unknown
Vendor-embedded AI	66.18% believe core software contains AI	Important diffusion route; perceived presence is not verified use
Task-specific applications	Chatbots, document processing, automation, reporting and forecasting	Visible in direct accounting survey evidence
System integration	19.9% among AI users in broad SIC M	Limited official contextual signal
Automated decision-making	4.1% among AI users in broad SIC M	Specialised; 95% CI 0.5%-7.7%
Developing or training AI	1.0% of all businesses in broad SIC M	Rare contextual pathway; 95% CI 0%-2.3%

Operational reading

- Most visible adoption begins with accessible tools and existing software rather than bespoke AI development.
- Embedded functionality may spread without users always recognising the boundary between conventional automation and AI.
- Automated decisions are not representative of mainstream current use and require stronger assurance than assistive drafting or research.
- No pathway is assumed to be superior; later research will test benefits and suitability by workflow.

Conclusion for dimension 5: accounting SMEs appear to adopt AI mainly by using external tools and vendor features, not by training models or delegating decisions autonomously.

07 CONCLUDING SYNTHESIS

How ready is the sector?

The sector is use-ready before it is fully operations-ready: access and task-level experimentation are widespread in the available surveys, while verified integration, governance and workforce capability are less mature and less consistently measured.

1. How much AI use has started?

Enough to conclude that AI is no longer niche among accounting practices. The best direct benchmark reports 26% adopted and 54% piloting or adopted in April 2024. A 2026 self-selected profession sample reports 71.38% external-tool use. Because the definitions and samples differ, the report does not convert these into one sector rate or trend.

2. What type of use dominates?

Assistive, language-heavy and document-oriented tasks: tax and information research, drafting, summarisation, client chatbots, document processing and reporting. Repetitive-task automation and forecasting are also visible. Bespoke development and automated decision-making are uncommon in official broad-sector context.

3. What is the main readiness gap?

The move from individual tool use to governed, secure and integrated workflows. Direct surveys flag data security, skills and natural integration as leading issues. Official contextual evidence also shows that system integration and policy are much less common than broad AI use.

4. What comes next?

A separate benefits and effectiveness programme should test where AI improves accounting practices and their client businesses, which workflows benefit, what controls are needed, and which systems offer the strongest fit. This report makes no impact claim in advance of that evidence.

Overall evidence confidence: moderate for the direction and type of current accounting use; low for a precise population prevalence estimate; insufficient for causal claims about business benefit.

08 METHODS AND COMPARABILITY

Secondary data only, with denominator controls

Sources were selected for direct sector relevance, official status, openness, recency and methodological transparency. The study uses public or free-to-read secondary sources only. No survey, interview, web scraping of personal data or primary fieldwork was conducted.

Grade	Meaning	Examples in this report
A - direct frame	Matches the sector/population concept	ONS SIC 69.20 enterprise counts
B - direct directional	Accounting-specific but not a representative SME estimate	Sage/Demos/ACCA 2024; AccountingWEB/Sage 2026
C - contextual proxy	Official but broader sector or different size coverage	UKBDS SIC M; DSIT AI Adoption Research
D - prohibited	Would mix definitions or imply unsupported causality	Averaging adoption figures; ROI claims; readiness score

Key controls

- Fieldwork date and publication date are kept separate.
- All-business and AI-user denominators are never combined.
- Multiple-response percentages are never added.
- Pilot, external-tool use, embedded AI, integration and transformation remain distinct concepts.
- Confidence intervals and rounded bases are retained where supplied.
- Guidance is used as normative context, never as adoption prevalence evidence.

Limitations

No official dataset isolates both SIC 69.20 and SME size for AI use. The 2024 direct survey includes large practices and does not publish raw microdata or the full questionnaire. The 2026 AccountingWEB sample is self-selected, mixes practice and business respondents and does not support population inference. ONS sector counts exclude unregistered enterprises. Official comparator surveys use broader sector groups and varying minimum business sizes.

09 SOURCES

Open and free-to-read evidence used

1. ONS - UK business: activity, size and location 2025
https://www.ons.gov.uk/businessindustryandtrade/business/activitysizeandlocation/datasets/ukbusinessactivitysizeandlocation

2. DSIT - UK Business Data Survey 2026
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3. DSIT - AI Adoption Research 2026
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4. Sage, Demos and ACCA - Going for Growth, 2024
https://www.sage.com/en-gb/-/media/files/sagedotcom/uk/documents/pdf/press-release-attachments/going-for-growth-report-2024.pdf

5. AccountingWEB and Sage - State of the nation: AI in accountancy and bookkeeping, 2026
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6. Financial Reporting Council - AI in Audit guidance
https://www.frc.org.uk/library/standards-codes-policy/audit-assurance-and-ethics/guidance/ai-in-audit/

7. ICAEW - AI and accountants: rules and guidance
https://www.icaew.com/technical/practice-resources/practice-news/ai-and-accountants

Reproducibility

The public research package includes the observation-level CSV, source register, dataset register, data dictionary, findings matrix, comparability matrix and the report-generation code. Local raw-source files are preserved with checksums but are not republished when copyright or distribution terms do not permit it.

Citation

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Publication note: this report describes the current state of adoption. It is not investment, legal, accounting or procurement advice.